FNR 2023-23 CMO deal

- 3 Tranches

- 2 are linked → Sequential Structure ; class ; Type
- 1 seperate

A tranche	100mm	LA	AO, SEQ
Z tranche	17mm	LZ	Z, SEQ

↳ A single IO tranche 38mm

The sequential structure has 117mm of collateral (30yr 5.5% coupon)
The IO has seperate 38mm of collateral ~(30yr 4% coupon)

How they pay

"A" tranche gets Principal "P" and interest "I" on 100mm

"Z"-bond tranche sees principal "$\hat{P}$" and interest "$\hat{I}$" on 17mm

- Z is a subordinate tranche, it gets nothing until A is fully paid.

A cash Flows $= (P + \hat{P})$ ← works to reduce principal
$+ (I + \hat{I})$

total: $P + \hat{P} + I + \hat{I}$

- A tranche gets P+I on it's own 100mm balance, and $\hat{P}$ (principal from Z-claim) is used to pay down it's principal balance too!

Z cash flows

= 0 until A is paid of. Z-balance accrues over time

Accounting purposes: Accrued Z-balance $= 17mm + \sum_{n=1}^{T} \hat{I}_n$

- There is no guarantee Z will get CF from it's accrued balance! That is the risk.

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